



Qualification Programme Examination Panelist's Report

Module 2 – Management Accounting (June 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 20 multiple-choice questions. Candidates should allocate approximately 36 minutes for this section.

The syllabus of this paper relates broadly to the following topics:

- (a) Explain the role and purpose of management accounting;
- (b) Apply cost accounting;
- (c) Apply the principles and techniques for budgeting and forecasting; and
- (d) Analyse information for performance measurement.

Section A questions cover a wide range of topics in the syllabus. The overall performance in this section was good though some candidates were weak in some of the topics.

Specific Comments

Candidates performed well with strategic management accounting (theory of constraints), role and purpose of management accounting, inventory systems, overheads and absorption costing, flexible budgets, accounting ratios and non-financial performance measures, but were weak on the following topics:

- (a) Functions of management;
- (b) Economic order quantity;
- (c) Budgeting (principal budget factor, budget manual, budgetary planning and control system); and
- (d) Triple bottom line management.

(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding and the related application to specific situations. In general, the performance of candidates on computational questions was far better than their performance on essay-type questions.



Specific Comments

Question 1(a) – 10 Marks

This question required candidates to calculate the equivalent units (EUs) for direct materials and conversion costs, as well as their related costs per equivalent unit. Most candidates could calculate the EUs of opening and closing WIP for direct material and conversion costs but failed to answer the EUs started and completed. Only a few candidates included abnormal gains in the calculation of the EU.

Question 1(b) – 9 Marks

This question required candidates to prepare the process account. Most candidates' performance was less than satisfactory. It appears that most candidates lacked adequate preparation for answering questions on process costing with FIFO.

Question 1(c) – 6 Marks

This question required candidates to explain normal losses, abnormal gains and abnormal losses. The overall performance was unsatisfactory. Only very few candidates correctly pointed out that abnormal losses or abnormal gains are the difference between the actual losses and the expected normal losses.

Question 2(a) – 12 Marks

This question required candidates to calculate the relevant costs of related items for a special order and make recommendations based solely on financial consideration. The overall performance on this part was good. Most candidates could correctly answer relevant costs of direct materials and various overheads. In addition, strong candidates were able to correctly calculate the relevant costs of direct labour, income tax and opportunities cost for Mazarine.

However, a few candidates failed to draw a conclusion about whether to take the special order or not after giving detailed calculations of the relevant costs.

Question 2(b) – 6 Marks

This question required candidates to define fixed costs and differentiate between avoidable and unavoidable fixed costs. Most candidates were only able to state the definition of fixed costs but almost no one was able to correctly answer that fixed costs can further be categorized into avoidable and unavoidable fixed costs and how they affect short-term decision-making.



Question 3(a) – 14 Marks

This question required candidates to calculate different cost items and variances. Overall performance in this part was fair. Well-prepared candidates scored high marks on this question while weaker candidates scored very low marks.

Question 3(b) – 8 Marks

This question required candidates to differentiate between ideal standards and currently attainable standards. The performance was unsatisfactory. Most candidates were unable to correctly describe the content of, and differentiate between, each costing standard.

Question 4(a) – 6 Marks

This question required candidates to calculate the return on investment (ROI) and residual income (RI). Overall performance was satisfactory and most candidates were able to correctly calculate both the ROI and RI for each division.

Question 4(b) – 9 Marks

This question required candidates to list the other three perspectives and identify two measures for each of the three perspectives of the balanced scorecard in the given context. The performance for this part was unsatisfactory. Only very few candidates were able to correctly state the other three perspectives in the balanced scorecard with appropriate measures applied for the company.

(III) Conclusion and Recommendation

Most candidates performed well in calculating the relevant cost of the special order and financial performance measures. However, candidates' performance on questions on process costing was less than satisfactory. In addition, most candidates' performance was less than satisfactory on essay-type questions, including types of standards, avoidable and unavoidable fixed costs, and non-financial performance measures (measures and perspectives of balanced scorecard).

It appears that the less than satisfactory performances were likely due to insufficient preparation for the examination. Therefore, candidates are strongly advised to review past examination papers so that they understand more deeply what the examiner requires in different types of questions in order to help them better prepare for their future examinations.